

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME

SEMESTER – II – UNIVERSITY EXAMINATION, APRIL 2018

BM107 BUSINESS ECONOMICS (OLD)

BM107.1 BUSINESS ECONOMICS (NEW)

Date: 30/04/2018, Monday

Time: 10.00 AM to 10.30 AM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

A) Match the following: (i – vi)

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Q. No.:		Probable Answer Keys		Write Your Answer Here
i.	Export	a)	Focus on Cost	i. -
ii.	Import	b)	Focus on Opportunity Cost	ii. -
iii.	Reduction in Price	c)	Consumer Surplus Increases	iii. -
iv.	Taxes on Product	d)	World Price > Local Price	iv. -
v.	Inelastic Demand	e)	World Price < Local Price	v. -
vi.	Elastic Demand	f)	Consumer Surplus Decreases	vi. -
		g)	Producer Surplus Increases	
		h)	Producer Surplus Decreases	
		i)	Consumer Surplus Unchanged	
		j)	Producer Surplus Unchanged	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer)

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vii. Which of the following is not a characteristic of Indifference Curve?

- a) It is convex to origin
- b) It is downward sloping
- c) People prefer higher indifference curve
- d) None of above

viii. Which of the following is / are an objective(s) of International Trade?

- a) To gain foreign currency
- b) To increase standard of living of people
- c) To improve trade relations with other countries
- d) All of above

ix. Which of the following does not deals with macroeconomics?

- a) Inflation
- b) Per capita income
- c) Demand of a product
- d) Income distribution

C) Fill-in the Blanks (x – xii) You may choose from the following answers:

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Same	Different	Greater	Less	Direct	Derived
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- x.** If two indifference curves intersect each other, it means a combination of product results into _____ level of satisfaction.
- xi.** Accounting profit is always _____ than economic profit.
- xii.** Demand for automobile tyres is said to be _____ demand.

D) True or False (xiii – xv) (Note: Encircle the correct answer)

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- xiii.** According to economic theory, savings is always equal to investment. (True) or (False)
- xiv.** Advertising does not have any role to play in revealed preference theory of demand. (True) or (False)
- xv.** Paying in kind makes difficult to measure national income. (True) or (False)

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BM107 BUSINESS ECONOMICS (OLD)

BM107.1 BUSINESS ECONOMICS (NEW)

Date: 30/04/2018, Monday

Time: 10.30 AM to 01.00 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

Q.2 “Business economics has a very wide scope of applications.” Explain the given statement in the light of meaning of business economics and importance of business economics. Also, discuss any four areas in which business economics can be applied with real life examples. You can assume suitable data to justify the answer. **10**

OR

Q.2 “Theory of Indifference Curve forms the basis for rational behaviour of consumers.” Explain in detail the meaning of Indifference Curve. Also, discuss various characteristics of IC. Also, explain how theory of IC explains rational behaviour of consumers? **10**

Q.3 Define the following terms with suitable examples: **10**

- a. Exit
- b. Shutdown
- c. Leakage in economy
- d. Explicit cost
- e. Implicit cost
- f. Marginal cost
- g. Unit elastic demand
- h. Oligopoly
- i. Budget line
- j. Fiscal policy

Q.4 “One of the approach to measure the Gross Domestic Product (GDP) is to use the equation, $Y = C + I + G + \text{Exports} - \text{Imports}$.” Explain the meaning of GDP. Also discuss the meaning of C, I, G, Exports and Imports and show how it affects the GDP. **10**

OR

Q.4 “Market structures can also be differentiated on the basis of demand elasticity.” Explain the statement by defining elasticity of demand. Also, discuss various types of elasticity of demand. Critically discuss any two market structure and their differences on the basis of elasticity of demand. **10**

- Q.5** Your firm has discovered a cheap and efficient technology of turning used plastic bottles and bags into various products. You limit your attention to the following two production opportunities: you can produce plastic utensils or helmets. In the first case your estimated annual revenue is Rs. 25,000, while the production will cost you Rs. 8,000. However, in your second option, you expect to sell 2000 helmets every year at Rs. 10 each, and the average total cost of every helmet will be Rs. 2. **10**
- Which production opportunity will you choose and why?
 - If you select option in part (a), what will be your economic profit?
 - Compare the accounting profit and economic profit. Explain why it is so?

- Q.6** **Case Study / Case-let:** **15**
- Consider a small farmer who produces apples and sells them for Rs. 4 per apple. The following information is available:

Quantity (Q)	0	10	20	30	40	50	60	70	80	90	100
Total Cost (Rs.)	62	90	110	126	144	166	192	224	264	324	404

Answer the following question:

- Identify the market structure. Discuss the characteristics of the identified market structure. Provide another suitable example of a product which falls under this market structure.
- Calculate fixed cost, variable cost, marginal cost, total revenue, profit, average variable cost, average fixed cost, average total cost, average revenue, marginal revenue.
- Draw a graph for above calculated cost / revenue and identify the area of loss and profit. Also highlight the area of exit and shut down.